NAIROBI STOCK EXCHANGE LTD.

The metamorphosis of the NSE

Annual Report and Financial Statements 2010

Contents

Notice of the Annual General Meeting

NOTICE IS HEREBY GIVEN that the 57th Annual General Meeting of the Nairobi Securities Exchange Limited shall be held on Thursday, October 27, 2011, at the Sarova Stanley Hotel, commencing at 4.00 p.m. to transact the following business:

1. To confirm the minutes of the following meetings:

   i. The Annual General Meeting held on July 28, 2010;

   ii. The Extraordinary General Meeting held on July 6, 2011.

2. To receive the Chairman's Statement and the Chief Executive's Report;

3. To receive and consider the audited accounts for the Financial Year ended December 31, 2010, and the reports of the Directors and auditors thereon;

4. To note that the current board of directors remains in office as the Transitional Board for a period not exceeding six months from the date of re-registration in accordance with the provisions of Articles 110, 111 and 112 of the NSE Articles of Association;

5. To re-appoint Deloitte & Touché as the auditors for the Financial Year ending December 31, 2011 and to authorize the directors to fix their remuneration;

6. To transact any other business that may legally be transacted at the meeting.

BY ORDER OF THE BOARD

PETER MWANGI
SECRETARY

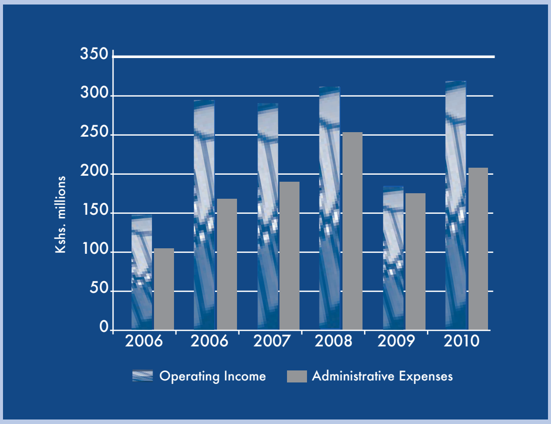
5 October 2011

Please note:

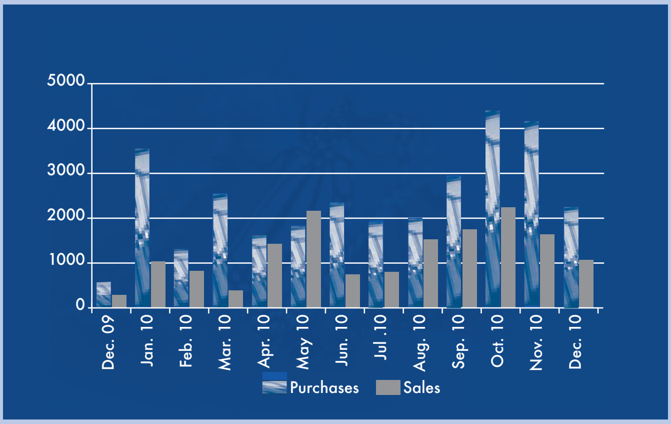
A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his stead. A proxy need not be a Member of the Company. A proxy form is provided herewith. To be valid, the completed form should be received at the registered office of the Company not less than 48 hours before the time appointed for the meeting.

Financial Highlights

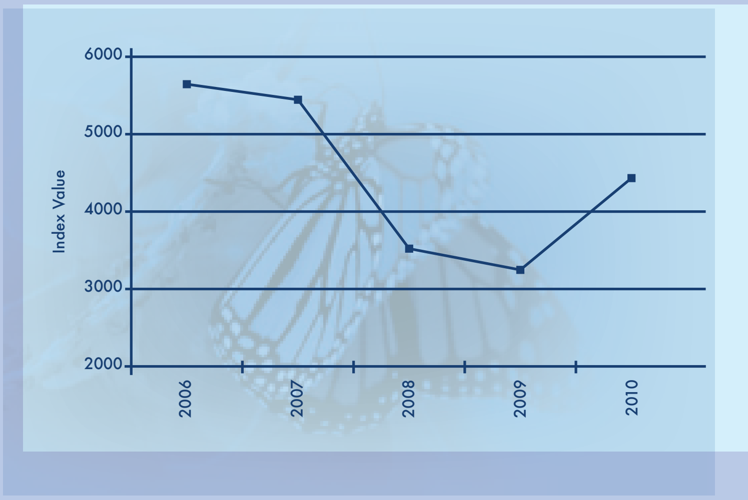
OPERATING INCOME VERSUS EXPENSES



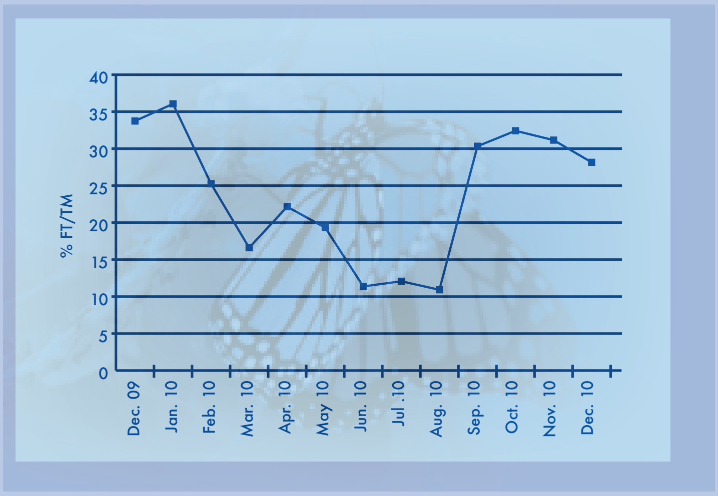
FOREIGN PURCHASES AND SALES IN 2010



NSE 20 SHARE INDEX



PERCENTAGE OF TOTAL FOREIGN TURNOVER (FT) TO TOTAL EQUITY TURNOVER



Board of Directors

Edward Njoroge
Chairman

Lutaf Kassam-1st Vice
Chairman

Job Kihumba -2nd Vice
Chairman

David Njoroge

Stanley Ngaine

George Maina

Andre DeSimone

Lucas Otieno

Winnie Nyamute

Catherine Musakali

Peter Mwangi
Chief Executive

Directors and Professional Advisers

DIRECTORS	Mr. Edward Njoroge	Chairman
	Mr. Lutaf Kassam	1st Vice Chairman
	Mr. Job Kihumba	2nd Vice Chairman
	Mr. George Maina	
	Mr. David M. Njoroge	
	Mr. Stanley M. Ngaine	
	Mr. Andre DeSimone	
	Mr. Lucas Otieno	
	Mrs. Winnie Nyamute	
	Mrs. Catherine Musakali	
	Mr. Peter Mwangi	Chief Executive

SECRETARY

Peter Mwangi
Certified Public Secretary (Kenya)
P.O. Box 43633 - 00100
Nairobi

REGISTERED OFFICE

Nation Centre, 1st Floor
PO Box 43633 - 00100
Kimathi Street
Nairobi

BANKERS

Kenya Commercial Bank Limited
Moi Avenue Branch
P.O Box 30081- 00100,
Nairobi

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

LEGAL ADVISERS

Hamilton Harrison & Mathews
P.O Box 3033- 00100
Nairobi

Chairman's Statement

"The NSE 20 Share Index was up 1,185 points to close 2010 at 4,433 points (an increase of 36.49%) from the start of 2009."

CHANGE OF NAME FROM THE NAIROBI STOCK EXCHANGE LIMITED TO THE NAIROBI SECURITIES EXCHANGE LIMITED

On behalf of the Board of Directors of the Nairobi Securities Exchange (NSE), I am pleased to present to you a report on the performance of the NSE in 2010. As you are aware, the Members of the NSE passed a special resolution on July 6 2011 approving the change of name of your Company from Nairobi Stock Exchange Limited to Nairobi Securities Exchange Limited. This special resolution was filed with the Registrar of Companies. The Registrar of Companies duly approved the change of name and issued the Company with the Certificate of Change of Name dated August 5 2011 confirming the change of name from the Nairobi Stock Exchange Limited to the Nairobi Securities Exchange Limited. We are therefore pleased to inform you that the Company has now changed its name to the Nairobi Securities Exchange Limited. I wish to underscore the accomplishments of the Exchange in a year that saw major economic improvements.

The real GDP rebounded to an estimated 5.6 percent in 2010 underpinned by good rainfall, global recovery from recession, higher infrastructure investment and the rising confidence amongst local households and firms.

2010 MACROECONOMIC REVIEW

GDP Growth

The economy grew by 6.1 percent in the third quarter of 2010, reflecting a sustained growth momentum from 1.6 percent in 2008 and 2.6 percent in 2009. Steady growth was evident in key sectors with agriculture growing at 6.8 percent, manufacturing at 7.8 percent, electricity and water at 24.4 percent, financials at 20.3 percent and construction at 14.6 percent. Equally, the impact of the 2009 fiscal stimulus, implemented by the government in late 2009, was felt throughout 2010. Higher public investment in infrastructure, rising market confidence since the adoption of a new constitution and economies of scale arising from the East African Community integration, also supported the economic rebound.

Inflation and Interest Rates

The 12-month inflation dipped to stand at 4.5 percent in December 2010, lower than the 5.3 percent level at the end of 2009. This reduction came in response to the overhaul of the consumer price index (CPI) by the Kenya National Bureau of Statistics -including

the introduction of new weightings and a new basket in February 2010 which showed that prices have not been rising as quickly as feared and that inflation was subdued. The decline was also a reflection of the reduction in the cost of telecom tariffs and good rains during the year. Lower inflation facilitated a decline in key interest rates. In July 2010, in a bid to promote economic activity and reduce borrowing costs, the Central Bank of Kenya continued with its policy of monetary loosening, cutting the Central Bank Rate (CBR) by 75 basis points to 6 percent. This was the sixth cut in 12 months. The benchmark 91-day Treasury-bill rate slipped to below 2 percent in July - its lowest level for several years. While our economy has grown and diversified, it remains vulnerable to exogenous shocks, including drought and volatile commodity prices.

GOING FORWARD

Structural Reforms

Although the 2012 elections may distract policymakers, the elections are unlikely to trigger any major policy shifts, as all key parties support a free market system. In the medium term, the expectations about Kenya's economic projections continue to be optimistic, with economic recovery projected to accelerate largely due to improved performance of key sectors and domestic demand. In addition, the gradual global economic recovery as well as the implementation of the Government's fiscal stimulus strategy and prudent monetary policy will all go a long way in contributing to an improved economic climate. Indeed, it is in recognition of Kenya's improving economic and political climate that in December 2010 Standard & Poor's revised Kenya's Country credit rating upwards, to B+ from B.

In January 2011, Kenya embarked on a new, three (3) year IMF-backed reform programme, supported by a US$500 million extended credit facility that will focus on fiscal reforms, investment in infrastructure and implementing the new constitution. The government further aims to quicken the pace of structural reforms in 2011-12, including deregulation and trade liberalisation (especially within the EAC). The state also plans to dispose of full or partial stakes in up to 25 state enterprises in a range of sectors, either by selling shares to strategic partners or via flotations on the NSE. An overhaul of company law, insolvency law and capital markets regulations are also planned.

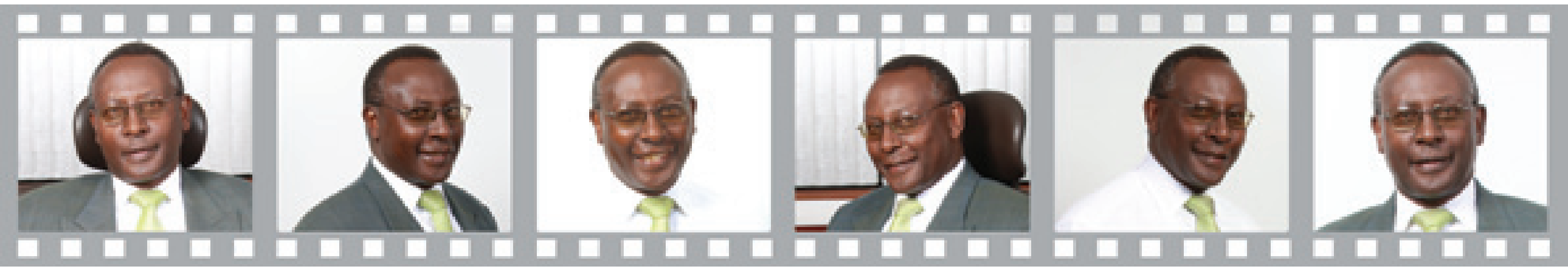
CAPITAL MARKETS REVIEW

Primary Market Activity

Kenya's capital markets registered a tremendously improved performance in 2010 characterized by increased activity in the primary and secondary markets. The NSE 20 Share Index was up 1,185 points to close 2010 at 4,433 points (an increase of 36.5 percent) from the start of 2009. In the corresponding period, the NSE All Share Index rose 26 points (36.5 percent) to close 2010 at 97.82 points. Equity market capitalization in dollar terms increased 31.8 percent from USD. 10.96 billion (Kshs. 831.83 billion) on December 31 2009 to USD. 14.45 billion (Kshs. 1166.99 billion) on December 31 2010. From no transactions in 2009, equities raising transactions in 2010, stood at Kshs. 25.2 billion; a resounding demonstration of the capacity of our public markets to mobilize long term risk capital. Debt capital raising transactions rose to Kshs. 154.6 billion in 2010 compared to Kshs. 118.9 billion representing a 30 percent increase.

Secondary Market Activity

In 2010, NSE's secondary equities market performance was the best over the past three (3) years and one of its best since its establishment. Market Capitalization averaged over Kshs 1 trillion (about USD 12.4 billion) throughout the year, while share volume and equity turnovers posted all time annual historical highs. Consequently, the equity market posted an average



annual return of 36 percent based on the NSE 20 Share Index, making NSE the second best performing equity market in Africa after the Uganda Securities Exchange.

INITIATIVES FOR 2011

As the NSE gears itself to be a leading securities exchange in Africa with a global reach, as is our vision, allow me to update you on the initiatives that we have set out to accomplish in 2011.

Demutualization

With the support of our Members and the Capital Markets Authority, we are working to deliver demutualization. All market players with the support of the Government are very keen on ensuring the delivery of demutualization, as it will both improve corporate governance and boost investor confidence in our markets. The demutualization of the Company envisages a change in the governance structure of the Company including the re-constitution of the Board pursuant to Articles 111 and 102 of the new Articles of Association of the Company. The provisions of the new Articles of Association of the Company as regards the Transitional Board provided for in Article 110 took effect on the date the Company was re-registered.

Reduction of the Settlement Cycle

I am happy to report that on July 4 2011, the equity settlement cycle moved from the previous T+4 settlement cycle to the T+3 settlement cycle. This market milestone is in line with international best practice. Trading in debt securities was already on a T+3 settlement cycle. We expect that the efficiency gains from this shorter settlement cycle will improve liquidity in the market for listed equity securities thus making our market more attractive to domestic and foreign investors.

NSE Broker Back Office System

On December 2010 NSE signed an agreement with Chella Soft Ltd., of India to implement a standard Broker Back Office (BBO) System for the Kenyan market. In September 2011, the Broker Back Office went live. The BBO system automates the entire process of transacting in shares with minimal manual intervention and is interfaced with the Automated Trading System (ATS) and Central Depository System (CDS). The system will reduce the risk of trading in securities listed on the NSE, boost investor confidence and facilitate greater access by enabling internet trading.

Company Reclassification

On August 1 2011, we reclassified the business segments under which our listed companies are placed. Equities are now under ten (10) industry sectors. Debt securities including preference shares are under three (3) categories. This reclassification brings us closer to international best practise and will enable domestic and international investors more easily compare company and sector performance. We are convinced that the reclassification will provide a more accurate reflection of the diversity of the companies listed at the NSE and by extension reflect the increasing diversification of our economy.

Indices

We are working with a global index provider to introduce branded equity and branded debt indices. The equity indices will run concurrently with the NSE 20 Share and NSE All Share indices. The branded indices give the NSE the opportunity to use the global index provider's expertise to design, manage and distribute branded indices and index related products, domestically and internationally. The Fixed Income indices will act as a gauge by which our investors can measure the performance of their bond portfolios. Overall, the indices should improve capital flows into the domestic market and enhance liquidity and market capitalization.

The Proposed Mid Cap Market Segment

We are in the process of setting up a Mid Cap Market Segment run by the NSE. This market segment will facilitate the listing of Small and Medium Sized Enterprises (SMEs). The establishment of the Mid Cap market segment is not only expected to diversify the sources of long term capital for SMEs, but also raise the level of savings and investments within the capital markets through additional listings. The introduction of the Mid Cap Market is in line with the Government focus on the SME sector as one of the key drivers of Vision 2030, destined to play an effective role as an engine for economic growth, poverty eradication, and employment creation. To this end, I am happy to report that the Capital Markets Authority exposed the rules and regulations for public comment and the legal framework

is expected to be in place by the end of December 2011.

APPRECIATION

I wish to appreciate all our investors – domestic and foreign, and our listed companies; without you, there would be no market. I further wish to appreciate the Government of Kenya for showing commitment to the capital markets, and to the President His Excellency Honorable Mwai Kibaki for honoring us with his distinguished presence four (4) times in the last ten (10) months. Indeed, I wish to reiterate that the NSE remains committed to facilitating the Government's efforts to tap private capital to support investment in Vision 2030 projects.

On behalf of the Board of the Directors of the NSE, I wish to express our unreserved appreciation to our members for their resolute support during 2010. My special thanks go to my fellow board members for their stewardship and to the management and staff for their commitment and dedication to delivering on the milestones laid out in the Company's 2010 – 2014 Corporate Plan.

EDWARD NJOROGE
CHAIRMAN

Chief Executive's Statement

"Equity turnover rose 135% from 2009's Kshs. 38.16 billion to Kshs. 89.75 billion."

On behalf of the Management and Staff of the Nairobi Securities Exchange (NSE), I am happy to share the highlights on the operational and financial performance of the Exchange for the year under review. I am pleased to report that 2010 saw major improvements to our bottom line.

TRADING PERFORMANCE

Equity turnover rose 135 percent from 2009's Kshs. 38.16 billion to Kshs. 89.75 billion. Corresponding deals increased 79 percent to 721,367. Our analysis indicates that domestic investors were very active in the equity market. In 2010, the value of transactions by domestic investors was 70 percent of 2010 turnover. Foreign investors transacted 30 percent of 2010 turnover. In 2010, secondary bond market activity surpassed that of 2009 by 337 percent to reach Kshs. 483.15 billion; from Kshs. 110.65 billion the previous year.

An increase in government borrowing from the domestic market and the automation of the bond market facilitated the increase in secondary market liquidity. Indeed, in recognition of the market efficiencies brought about by the automation of bond trading, I am delighted to inform you that the NSE scooped the 1st Runners-up position at the CIO Inaugural Awards held in December 2010. The CIO Awards which were launched during the year, will be an annual event to honour 100 companies that demonstrate excellence and achievement in Information Technology.

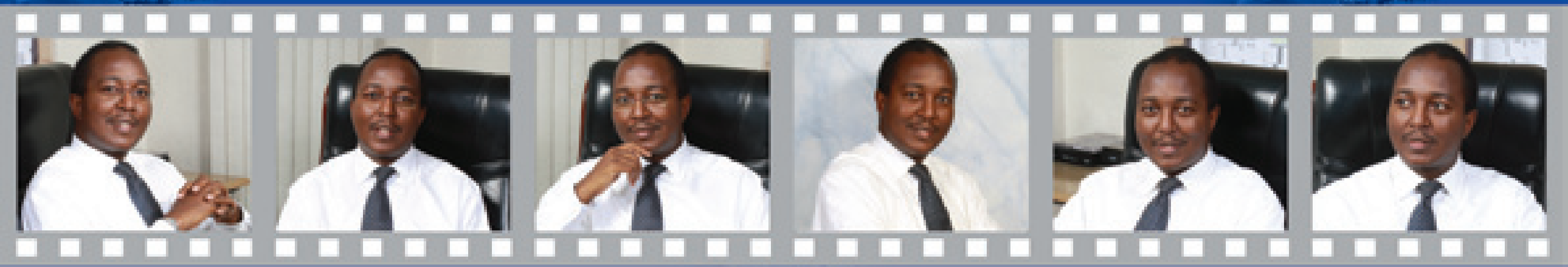
FINANCIAL PERFORMANCE

The Exchange made a net profit of Kshs.79.2 million for the year, compared to a loss of Kshs.35.8 million in 2009. The Exchange's total income was Kshs.319 million, a 72.9 percent increase when compared to the previous year's Kshs.184.5 million. Operating income got a significant boost from transactions levy- a 135.9 percent increase to Kshs.217 million. On December 9 2010, the Capital Markets Authority gazetted the fees that the Exchange could levy on bond transactions executed through the automated trading system. The full impact of this new income stream will reflect on our 2011 accounts. Initial listing fees went up 12.5 percent to Kshs.9 million, additional listing fees registered a tremendous 380 percent increase to Kshs.2million and data vending recorded a 12.2 percent increase to Kshs.9 million from Kshs.8 million in 2009. Due to reorganization, depreciation and advertising costs in 2010, administrative expenses increased by 18.4 percent to Kshs.207.6 million.

APPRECIATION

I wish to thank the Management and Staff of the Exchange for dedicating their time and efforts to ensuring that the NSE achieved a very successful first year under the 2010 – 2014 Strategic Plan Period. On behalf of the Staff and Management of the Exchange, I would like to thank the Board of Directors for their leadership. My special recognition goes to all market players for their continued support.

MR. PETER MWANGI
CHIEF EXECUTIVE



Operations and Technology

SEATED: L-R- Jane Nyansiri, John Mwaniki, Leah Mumbi
STANDING: L-R- Timothy Kamau, Joseph Gichuru, David Waggema, Patrick Omondi, Sammy Mutua

Directors and Attendance Schedule

NAME	DESIGNATION
Mr. Edward Njoroge	Chairman
Mr. Lutaf Kassam	1st Vice Chairman
Mr. Job Kihumba	2nd Vice Chairman
Mr. David Njoroge	Director
Mr. Stanley Ngaine	Director
Mr. George Maina	Director
Mr. Andre DeSimone	Director
Mr. Lucas Otieno	Director
Ms. Winnie Nyamute	Director
Ms. Catherine Musakali	Director
Mr. Peter Mwangi	Chief Executive

BOARD MEETING ATTENDANCE SCHEDULE

There were 9 meetings held during the 2010 Financial Year. Below are the details of attendance.

Name	Jan 28th	March 4th	March 8th	April 12th	June 17th	July 28th	Aug 19th	Sep 30th	Dec 7th
Edward Njoroge	√	√	√	√	√	√	√	√	
Peter Mwangi	√	√	√	√	√	√	√	√	√
Lutaf Kassam	√			√	√	√	√	√	
Job Kihumba	√	√	√	√	√	√	√		√
David Njoroge			√			√	√	√	
Stanley Ngaine	√	√	√	√	√	√	√	√	
George Maina	√	√	√	√	√		√	√	√
Andre DeSimone	√			√	√	√	√	√	√
Lucas Otieno	√	√	√	√	√	√	√	√	√
Winnie Nyamute	√	√	√	√	√	√	√	√	√
Catherine Musakali	√	√	√	√	√	√	√	√	√

Committees continued

Demutualization Committee
Mr. Edward Njoroge (Chairman)
Mr. Stanley Ngaine
Mr. George Maina
Mr. Jimnah Mbaru
Mr. James Wangunyu
Mr Peter Mwangi (Chief Executive)
Mr. Andrew Wachira (Secretary)

Trading & Surveillance Committee
Mr. Job Kihumba (Chairman)
Mr. John Odhiambo
Mrs. Rose Mambo
Mr. Michael Gichohi
Mr. Dennis Waweru
Mr. Lucas Otieno
Mr. John Kirimi
Mr. Peter Mwangi (Chief Executive)
Mr. John Mwaniki (Head of Operations & Technology)
Mr Andrew Wachira (Head of Compliance & Legal)
Mr. David Wainaina (Secretary)

Business Development & Public Education Committee
Mr. George Maina (Chairman)
Mr. Lucas Otieno
Mr. Job Kihumba
Mr. Benjamin Nyamweya
Ms. Christine Mweti
Mr. Edward Burbidge
Mr. Peter Mwangi (Chief Executive)
Mr. Donald Ouma (Secretary)

Technology Committee
Mr. Stanley Ngaine (Chairman)
Ms. Catherine Musakali
Mr. Bob Karina
Mr. Geoffrey Odundo
Mr. James Gikonyo
Mr. Kris Senanu
Mr. Peter Mwangi (Chief Executive)
Mr. John Mwaniki (Secretary)

Disciplinary Committee
Mr. Lutaf Kassam (Chairman)
Mr. Andre DeSimone
Ms. Catherine Musakali
Mr. Karim Anjarwalla
Ms. Winnie Nyamute
Mrs. Rose Mambo
Mr. Peter Mwangi (Chief Executive)
Mr. Andrew Wachira (Secretary)

Audit, Risk & Corporate Governance Committee
Ms. Winnie Nyamute (Chairperson)
Mr. Lutaf Kassam
Mr. Lucas Otieno
Mr. Robert Mugo
Mr. Peter Mwangi (Chief Executive)
Mr. Felix Saina (Secretary)

Finance & Manpower Committee
Mr. David Njoroge (Chairman)
Mr. George Maina
Mr. Andre DeSimone
Mr. Stanley Ngaine
Mr. Peter Mwangi (Chief Executive)
Mr. Chrysantus Macheso (Head of Finance & Strategy)
Mr. Andrew Wachira (Secretary)

Listing Committee (Committee of the full board)
Mr. Edward Njoroge (Chairman)
Mr. Lutaf Kassam
Mr. Job Kihumba
Mr. David Njoroge
Mr. Stanley Ngaine
Mr. George Maina
Mr. Andre DeSimone
Mr. Lucas Otieno
Ms. Winnie Nyamute
Ms. Catherine Musakali
Mr. Peter Mwangi (Chief Executive)
Mr. Andrew Wachira (Secretary)

Market and Product Development

L-R- Godfrey Omilly, Susan Kabui, Donald Ouma, Carol Karugu, Terrence Adembesa

Corporate Social Responsibilty

Our approach to Corporate Social Responsibility (CSR) is to align ourselves to responsible business practices and social investments that create long term value, with the main pillars being sustainable growth in the securities market, social commitment, human resource development, environmental protection and participatory practices. All these are built on our core values; ethics, integrity, confidentiality, innovation and excellence.

HUMAN RESOURCE DEVELOPMENT

The NSE values its human resource and strives to foster a corporate culture that empowers employees to work for positive change. The employees are therefore provided with engaging and challenging employment as well as career development that enables them to make significant contribution to the organization. Besides participating in initiatives that build the cohesiveness of the team, our staff are able to access corporate sponsored career advancement training and also professional courses.

PUBLIC EDUCATION

The securities market has continued to witness increased interest and activity boosted by the surge in the numbers of retail investors. Through the Wednesday Forum, varied public education programmes are carried out every year. In the year 2010, a total of 2,493 visitors from 53 different academic institutions were hosted at the NSE Auditorium.

The NSE Investment Challenge is an edutainment initiative representing a new and innovative means of facilitating not only investor education but also encouraging a culture of saving amongst the youth. It is an annual online competition which is a simulation of the activities that happen around trading in securities listed on the Nairobi Stock Exchange (NSE). Each participant gets Kshs 2 million virtual start up capital to trade with, using live data from NSE for a 3 month period. They are mentored and judged by selected stock brokers, investment banks and investment advisors. In the year 2010 we talked to more than 7,500 students during the various forums and also reached over 20,000 youth through email and Face book. 1,126 students registered and participated in the Challenge.

ENVIRONMENTAL CONSERVATION

The NSE also contributed to the Rhino Charge annual event. The Rhino Charge is an event that is hosted by the Rhino Ark Kenya Charitable Trust, a fund-raising initiative geared to building the Aberdare Electric Fence. The Aberdare fence protects animals from poachers, prevents destruction of crops, secures livelihoods of the farmers living around the periphery of the park and conserves our indigenous forests.

SOCIAL INVESMENT

The Nairobi Stock Exchange has over the years been involved in education and social investment initiatives through our support of the activities of student affairs bodies, academic and civic institutes and publicly and privately funded charitable organisations. Such partnerships have had a positive effect in improving the welfare of the University students, investment professionals and also the disadvantaged in the society. In the year 2010, the NSE sponsored the 5th Certified Financial Analyst (CFA) Charter Award Ceremony and the Special Olympics, a private funded charitable organization that deals with people with intellectual challenges. Special Olympics-Kenya is the first and largest in Africa and was founded in 1978. Since then, it has grown to serve over 22,000 athletes, 2,500 volunteer coaches and over 4,300 families. The Kenya program offers all Olympic type sports and competitions are scheduled in the sub-committee areas, and National Games are held to choose teams to represent Kenya at the international Games every four (4) years. Special Olympics-Kenya estimates that there are over 1 million people in

Kenya with intellectual disabilities and their needs are usually desperately neglected. The Nairobi Stock Exchange is proud to be associated with Special Olympics-Kenya.

STAKEHOLDERS' ENGAGEMENT

The NSE has also had engagements with our stakeholders with an aim of getting new perspectives to help improve our business. This includes the Listed Companies' Forums which are held quarterly. In 2010, three (3) fully sponsored forums were held with an aim of providing an opportunity for listed companies and potential issuers to interact with the senior management of Nairobi Stock Exchange as well as share their experiences and debate on various aspects related to the industry.

Public listing or partnerships with private equity firms have become important sources of fresh capital needed to fund growth plans for small and medium sized companies, the NSE has therefore been in the forefront in supporting the Annual Top 100 Mid Sized Companies Survey, which is organized by the Nation Media Group and KPMG . In November, the NSE sponsored the first Prospective Issuers Forum targeting potential issuers. The majority of the participants were drawn from the Top 100 Mid Sized companies. The aim was to educate them on the listing process and the fiscal incentives available to companies that raise capital through the NSE. The Prospective Issuers forum assisted the NSE in further knowing our prospective issuers' medium term plans for growing their businesses. We focused on sharing ways that the Exchange can work with these prospective issuers to enhance their profile, and also to assist them position themselves to raise affordable long term capital and to unlock shareholder value. The Top 100 Mid Sized companies are selected through a Survey (The Top 100 Survey) which seeks to identify the fastest growing medium sized companies in the region, in order to showcase business excellence and highlight some of the most successful entrepreneurship stories. We strongly believe that there is a need to celebrate the entrepreneurs that have contributed to wealth and job creation in this region, who are role models and national heroes.

In conclusion, the Nairobi Stock Exchange recognizes that our society is an integral part of our formation and sustained growth and therefore in order for us to remain true to our core values; ethics, integrity, confidentiality, innovation and excellence, we remain committed to continuous engagement with all our stakeholders. This is our promise.

Compliance and Legal

SEATED: L-R- Tom Kimaru, Andrew Wachira, Nicholas Gitonga
STANDING L-R-Nelly Orwaya, Dennis Katei, Silvana Wanjiru

Report of the Directors

The directors have pleasure in presenting the audited financial statements for the year ended 31 December 2010 which show the state of the company's affairs.

PRINCIPAL ACTIVITIES

The company is the sole stock exchange, licensed by the Capital Markets Authority to provide a facility for the issue, purchase and sale of securities in Kenya. Nairobi Stock Exchange as a self-regulatory organization is involved in the development and operation of an efficient securities market.

RESULTS FOR THE YEAR	Sh'000
Profit for the year	114,286
Taxation charge	(35,081)
Profit for the year transferred to revenue reserve	79,205

DIRECTORS

The present board of directors is as shown on page 4.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenyan Companies Act.

By Order of the Board

Secretary

Nairobi

31 March 2011

Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

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Director Director

31 March 2011

L-R- Felix Saina, Maryanne Muchui

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte PlaceWaiyaki Way, Muthangari
P.O. Box 40092 – GPO 00100
Nairobi,Kenya
Tel: +254 (20) 423 0000
+254 (20) 444 1344/05-12
Fax: +254 (20) 444 8966
Dropping Zone No. 92
Email: admin@deloitte.co.ke
www.deloitte.com

Independent Auditors' Report

to the members Nairobi Stock Exchange Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Nairobi Stock Exchange Limited, set out on pages 24 to 47 which comprise the statement of financial position as at 31 December 2010, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31 December 2010 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Companies Acct we report to you, based on our audit, that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit:

ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and

iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.

Deloitte & Touche

Certified public Accountants (Kenya)

31 March 2011

Nairobi

Finance and Strategy

SEATED: L-R- Alex Githiaka, Chrysantus Macheso, Lucy Kamar
STANDING: L-R- Winny Mwangi, David Irungu, Justine Busili, Titus Kiilu, Caroline Gakinya, Judy Nyachomba, Charles Gitonga

Statement of Comprehensive Income
for the year ended 31 December 2010

	Note	2010 Sh'000	2009 Sh'000
Operating income	3	292,795	164,387
Interest income	6	12,679	9,802
Other income	7	13,655	10,340
		319,129	184,529
Administrative expenses		(207,562)	(175,299)
Share of profit of associate company	11	3,019	1,639
Provisions for doubtful debts	15(b)	(300)	(42,623)
Profit /(loss) before tax	4	114,286	(31,754)
Taxation	8(a)	(35,081)	(4,050)
Profit /(loss) for the year		79,205	(35,804)
Other comprehensive income		-	-
Total comprehensive income for the year		79,205	(35,804)

Statement of Financial Position

as at 31 December 2010

	Note	2010	2009
ASSETS		Sh'000	Sh'000
Non current assets			
Equipment	9	18,210	32,911
Intangible assets	10	26,118	41,549
Investment in associate company	11	33,025	30,006
Corporate bonds held to maturity	12	35,276	-
Government securities held to maturity	13	157,208	-
Deferred taxation asset	14	4,142	-
		273,979	104,466
Current assets			
Trade and other receivables	15	48,261	36,292
Taxation recoverable	8(c)	-	16,593
Government securities held to maturity	13	-	34,554
Term deposits	16	-	69,064
Bank and cash balances	16	80,813	42,002
		129,074	198,505
TOTAL ASSETS		403,053	302,971
MEMBERS' FUNDS AND LIABILITIES			
Members' funds and reserves			
Members' fund		22,240	22,240
Retained earnings		321,872	242,667
		344,112	264,907
Non current liabilities			
Deferred taxation	14	-	732
Current liabilities			
Trade and other payables	17	37,345	37,332
Taxation payable	8(c)	21,596	-
		58,941	37,332
TOTAL MEMBERS' FUNDS AND LIABILITIES		403,053	302,971

The financial statements on pages 24 to 47 were approved by the board of directors on 31 March 2011 and were signed on its behalf by:

Director | Director | Company Secretary

Statement of Changes in Equity
for the year ended 31 December 2010

	Members' fund Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 January 2009	22,240	278,471	300,711
Total comprehensive income	-	(35,804)	(35,804)
At 31 December 2009	22,240	242,667	264,907
At 1 January 2010	22,240	242,667	264,907
Total comprehensive income	-	79,205	79,205
At 31 December 2010	22,240	321,872	344,112

Members' fund relates to a pool of membership fees paid by members of the Nairobi Stock Exchange when joining the Exchange.

Statement of Cash Flows

for the year ended 31 December 2010

	Note	2010 Sh'000	2009 Sh'000
Cash flows from operating activities			
Cash generated from operations	18	117,477	33,408
Taxation paid	8(c)	(1,766)	(1,455)
Net cash generated from operating activities		115,711	31,953
Cash flows from investing activities			
Purchase of equipment	9	(435)	(7,921)
Purchase of computer software	10	(278)	(14,712)
Proceeds from disposal of equipment		-	2,800
Net proceeds from maturing government securities		-	60,000
Interest received		10,229	9,802
Purchase of government securities	12	(155,034)	-
Purchase of corporate bonds	13	(35,000)	-
Net cash (used in)/generated from investing activities		(180,518)	49,969
(Decrease)/ increase in cash and cash equivalents		(64,807)	81,922
Cash and cash equivalents at the beginning of the year		145,620	63,698
Cash and cash equivalents at the end of the year	16	80,813	145,620

1 ACCOUNTING POLICIES

a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan Companies Act reporting purposes, in these financial statements the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

b) Adoption of new and revised International Financial Reporting Standards (IFRSs)

(i) New standards and amendments to published standards effective for the year ended 31 December 2010

	Effective for annual periods be ginning on or after
Amendments and revised standards	
IFRS 1, First-time adoption of International Financial Reporting Standards – revised and restructured	1 July 2009
IFRS 1, First-time adoption of International Financial Reporting Standards – amendments relating to oil and gas assets and determining whether an arrangement contains a lease	1 January 2010
IFRS 2, Share-based payment – amendments relating to group cash-settled share-based payment transactions	1 January 2010
IFRS 3 (Revised 2008), Business Combinations – comprehensive revision on applying the acquisition method	1 July 2009
IAS 27, Consolidated and Separate Financial Statements; IAS 28, Investments in Associates; and IAS 31, Interests in Joint Ventures – consequential amendments arising from amendments to IFRS 3	1 July 2009
IAS 39, Financial Instruments: Recognition and Measurement – amendments for eligible hedged items	1 July 2009
Various improvements resulting from May 2008, April 2009 and May 2010 Annual Improvements to IFRSs	1 July 2009 and 1 January 2010
New interpretations	
IFRIC 17, Distributions of Non-cash Assets to Owners	1 July 2009
IFRIC 18, Transfers of Assets from Customers	Transfers received on or after 1 July 2009

1 ACCOUNTING POLICIES (continued)

b) Adoption of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(ii) New and amended interpretations in issue but not yet effective in the year ended 31 December 2010

	Effective for annual periods beginning on or after
New and Amendments to standards	
IFRS 1, First-time Adoption of International Financial Reporting Standards – limited exemption from comparative IFRS 7 disclosures for first-time adopters	1 July 2010
IFRS 1, First-time Adoption of International Financial Reporting Standards – replacement of 'fixed dates' for certain exceptions with 'the date of transition to IFRSs'; and additional exemption for entities ceasing to suffer from severe hyperinflation	1 July 2011
IFRS 7, Financial Instruments: Disclosures – amendments enhancing disclosures about transfers of financial assets	1 January 2011
IFRS 9, Financial Instruments – Classification and Measurement	1 January 2013
IAS 12, Income Taxes – limited scope amendment (recovery of underlying assets)	1 January 2012
IAS 24, Related Party Disclosures – revised definition of related parties	1 January 2011
Various improvements resulting from May 2010 Annual Improvements to IFRSs	1July 2010 and 1 January 2011
IAS 32, Financial Instruments: Presentation – amendments relating to classification of rights issues	1 February 2010
New interpretation	
IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments	1 July 2010

(iii) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2009

The amendments to IAS 1 clarify that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or noncurrent. This amendment has had no effect on the amounts reported because the company has not previously issued instruments of this nature.

Amendments to IAS 7 Statement of Cash Flows (as part of Improvements to IFRSs issued in 2009

The amendments to IAS 7 specify that only expenditures that result in a recognised asset in the statement of financial position can be classified as investing activities in the statement of cash flows. This amendment has had no effect on the amounts reported.

1 ACCOUNTING POLICIES (continued)

(iii) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods

IFRS 9, Financial Instruments

IFRS 9 Financial Instruments issued in November 2009 and amended in October 2010 introduces new requirements for the classification and measurement of financial assets and financial liabilities and for derecognition.

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 9 that will be adopted in the company's financial statements for the annual period beginning 1 January 2013 and that the application of the new Standard will have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

IAS 24 Related Party Disclosures (as revised in 2009)

This modifies the definition of a related party and simplifies disclosures for government-related entities.

The disclosure exemptions introduced in IAS 24 (as revised in 2009) do not affect the company because the company is not a government-related entity. However, disclosures regarding related party transactions and balances in these financial statements may be affected when the revised version of the Standard is applied in future accounting periods because some counterparties that did not previously meet the definition of a related party may come within the scope of the Standard

1 ACCOUNTING POLICIES (continued)

(iii) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods

The amendments to IAS 32 titled Classification of Rights Issues

These address the classification of certain rights issues denominated in a foreign currency as either an equity instrument or as a financial liability. To date, the company has not entered into any arrangements that would fall within the scope of the amendments. However, if the company does enter into any rights issues within the scope of the amendments in future accounting periods, the amendments to IAS 32 will have an impact on the classification of those rights issues.

IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments

This provides guidance regarding the accounting for the extinguishment of a financial liability by the issue of equity instruments. To date, the company has not entered into transactions of this nature. However, if the company does enter into any such transactions in the future, IFRIC 19 will affect the required accounting. In particular, under IFRIC 19, equity instruments issued under such arrangements will be measured at their fair value, and any difference between the carrying amount of the financial liability extinguished and the fair value of equity instruments issued will be recognised in profit or loss.

(iv) Early adoption of standards

The company did not early-adopt any new or amended standards in 2010.

Basis of preparation

The financial statements are prepared under the historical cost basis of accounting. The principal accounting policies are set out below.

Revenue recognition

Initial listing income is recognized in the year in which the company makes the flotation.

Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/rights issues.

Transaction levy income is based on the percentage of the value of shares traded and is recognised on the dates of the transactions.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for 11 months period of between 1 January – 30 November.

Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset.

Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Monetary assets and liabilities at the date of reporting that are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in profit or loss in the year in which they arise.

1. ACCOUNTING POLICIES (continued)

Equipment

All equipment is stated at historical cost less accumulated depreciation and impairment losses.

Depreciation is calculated on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture, fittings and partitions	8 years
Office equipment	4 years
Computer equipment	4 years

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of equipment are determined as the difference between the sales proceeds and the carrying amount of the asset and taken into account in determining operating profit.

Intangible assets

Intangible assets represent computer software which is stated at cost less amortisation. Amortisation is calculated to write-off software on a straight-line basis over the estimated useful life of 4 – 5 years.

Impairment of tangible and intangible assets, excluding goodwill

At the end of each reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated and an impairment loss is recognized in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Financial instruments

The company classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans and receivables; held to maturity investments and available for sale assets. Management determines appropriate classification for its investments at initial recognition.

Trade receivables

Receivables are recognised initially at fair value and subsequently at amortized cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the profit or loss.

Trade payables

Trade payables are stated at their nominal values.

1. ACCOUNTING POLICIES (continued)

Financial instruments (Continued)

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale held-to-maturity investments are measured at amortised cost using the effective interest method less any impairment, with revenue recognised on an effective yield basis.

Available-for-sale financial assets

Financial assets classified as available for sale are recognised at fair value. Gains and losses arising from changes in fair value are recognized in other comprehensive income and accumulated in the investment revaluation reserve, with the exception of impairment losses, interest calculated using effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss.

Where the investment is disposed of or it is determined to be impaired, the cumulative gain or loss previously accumulated in the investment revaluation reserve is reclassified to profit or loss.

Cash and cash equivalents

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

Investments in associate

An associate is an entity over which the company has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies. The results and assets and liabilities of associates are incorporated in these financial statements using the equity method of accounting. Under the equity method, investments in associates are carried in the statement of financial position at cost as adjusted for post-acquisition changes in the company's share of the net assets of the associate, less any impairment in the value of individual investments. Losses of an associate in excess of the company's interest in that associate are recognised only to the extent that the company has incurred legal or constructive obligations or made payments on behalf of the associate.

Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the date of reporting.

Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the date of reporting are used to determine deferred tax.

1. ACCOUNTING POLICIES (continued)

Taxation (continued)

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Retirement benefit obligations

The company operates a defined contribution provident scheme for all its employees. The scheme is administered by British American Insurance Company (Kenya) Limited and is funded from contributions from both the company and employees.

The company also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee. The company's contributions to these schemes are charged to the profit or loss in the year in which they relate.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in the presentation in the current year.

2 CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINITY

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key areas of judgment in applying the entities accounting policies are dealt with below:

(a) Critical judgements in applying accounting policies

The following are the critical judgements, apart from those involving estimations (see (b) below), that the directors have made in the process of applying the company's accounting policies and that have the most significant effect on the amounts recognised in the financial statements.

Held-to-maturity financial assets

The directors have reviewed the company's held-to-maturity financial assets in the light of its capital maintenance and liquidity requirements and have confirmed the company's positive intention and ability to hold those assets to maturity. The carrying amount of the held-to-maturity financial assets is Sh 192.4 million (31 December 2009: Sh 103.6 million). Details of these assets are set out in note 12, 13 and 16.

(b) Key sources of estimation uncertainty

Impairment losses

At each date of reporting, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

1. ACCOUNTING POLICIES (continued)

Equipment

The company reviews the estimated useful lives of equipment at the end of each reporting period

		2010	2009
		Sh'000	Sh'000
3	OPERATING INCOME		
	Transactions levy	216,795	91,595
	Annual listing fees	64,103	64,460
	Initial listing fees	9,443	7,832
	Application and additional listing fees	2,454	500
		292,795	164,387
4	PROFIT/(LOSS) BEFORE TAXATION		
	The profit/(loss) before taxation is arrived at after charging:		
	Staff costs (note 5)	85,268	61,027
	Operating lease rentals	18,332	17,234
	Amortisation of intangible assets (note 10)	15,709	10,672
	Depreciation on equipment (note 9)	15,136	16,380
	Directors' emoluments:		
	- Executive	10,463	9,000
	- Non - executive	5,817	7,607
	Auditors' remuneration	1,200	950
	Provision for doubtful debts (note 15(b))	300	42,623
	Exchange loss /(gain)	172	(166)
5	STAFF COSTS		
	Salaries and wages	56,764	53,665
	Staff structure reorganization costs	10,242	-
	Staff bonus	9,947	-
	Leave pay expense	1,538	1,118
	Provident fund contribution	6,695	6,147
	Social security costs (NSSF)	82	97
		85,268	61,027

The exchange in the first quarter of 2010 undertook an organization restructuring exercise which was completed at the end of April. The reorganization costs relate to final dues paid to staff who did not fit in the new structure and other costs related to the exercise.

			2010	2009
6	INTEREST INCOME		Sh'000	Sh'000
	Held to maturity investments	- interest on treasury bonds	7,362	-
		- interest on corporate bonds	324	-
		- interest on treasury bills	1,011	7,310
		- interest on term deposits	3,879	2,292
	Interest on staff loans and advances		103	200
			12,679	9,802

		2010 Sh'000	2009 Sh'000
7	**OTHER INCOME**		
	Data vending	7,504	6,684
	Members subscription fee	1,800	-
	Advertisement fee on NSE journal	1,067	614
	Sale of publications and merchandising items	245	345
	Sale of magazine	221	414
	Gain on sale of equipment	-	2,283
	Other income	2,818	-
		13,655	10,340
8	**TAXATION**		
	(a) Taxation charge		
	Current taxation based on adjusted profit for the year at 30%	39,955	5,780
	Deferred taxation credit (note 14)	(4,874)	(2,238)
	Prior year under provision – deferred tax	-	508
		35,081	4,050

(b) Reconciliation of taxation charge to the expected tax based on accounting profit/(loss)

	2010 Sh'000	2009 Sh'000
Profit/(loss) before tax	114,286	(31,754)
Tax calculated at a tax rate of 30%	34,286	(9,526)
Tax effects on expenses not deductible for tax	1,701	14,118
Tax effects on incomes not subject to tax	(906)	(1,050)
Prior year under provision - deferred tax	-	508
Taxation charge	35,081	4,050
c) Taxation payable/(recoverable)		
Balance at 1 January	(16,593)	(20,918)
Charge to profit or loss	39,955	5,780
Taxation paid	(1,766)	(1,455)
Balance at 31 December	21,596	(16,593)

Notes to the Financial Statements

for the year ended 31 December 2010 (continued)

9. EQUIPMENT

	Motor vehicles Sh'000	Furniture & fittings Sh'000	Office equipment Sh'000	Computer equipment Sh'000	Total Sh'000
COST					
At 1 January 2009	7,740	16,208	12,606	69,395	105,949
Additions	6,868	469	164	420	7,921
Disposals	(5,737)	-	(60)	(308)	(6,105)
At 31 December 2009	8,871	16,677	12,710	69,507	107,765
At 1 January 2010	8,871	16,677	12,710	69,507	107,765
Additions	-	157	58	220	435
At 31 December 2010	8,871	16,834	12,768	69,727	108,200
DEPRECIATION					
At 1 January 2009	7,381	6,405	10,107	40,169	64,062
Charge for the year	1,559	1,534	1,320	11,967	16,380
Eliminated on disposal	(5,379)	-	(30)	(179)	(5,588)
At 31 December 2009	3,561	7,939	11,397	51,957	74,854
At 1 January 2010	3,561	7,939	11,397	51,957	74,854
Charge for the year	1,717	2,377	804	10,238	15,136
At 31 December 2010	5,278	10,316	12,201	62,195	89,990
NET BOOK VALUE					
At 31 December 2010	3,593	6,518	567	7,532	18,210
At 31 December 2009	5,310	8,738	1,313	17,550	32,911

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated equipment with a cost of Sh 69.6 million (2009 - Sh 69.6 million) which are still in use. If depreciation had been charged during the year on the cost of these assets at normal rates, it would have amounted to Sh 12.2 million (2009 – Sh 12.2 million).

10 INTANGIBLE ASSETS

	Automated trading system software Sh'000	Other software Sh'000	Software development costs Sh '000	Total Sh'000
COST				
At 1 January 2009	48,613	8,724	5,507	62,844
Additions	11,089	3,623	-	14,712
Reclassified to other software	-	5,507	(5,507)	-
At 31 December 2009	59,702	17,854	-	77,556
At 1 January 2010	59,702	17,854	-	77,556
Additions	-	278	-	278
At 31 December 2010	59,702	18,132	-	77,834
AMORTISATION				
At 1 January 2009	18,955	6,380	-	25,335
Amortisation for the year	9,398	1,274	-	10,672
At 31 December 2009	28,353	7,654	-	36,007
At 1 January 2010	28,353	7,654	-	36,007
Amortisation for the year	12,563	3,146	-	15,709
At 31 December 2010	40,916	10,800	-	51,716
NET BOOK VALUE				
At 31 December 2010	18,786	7,332	-	26,118
At 31 December 2009	31,349	10,200	-	41,549

	2010 Sh'000	2009 Sh'000
11 INVESTMENT IN ASSOCIATE COMPANY		
(a) The movement in the balance is as follows;		
At 1 January	30,006	28,367
Share of profit for the year	3,019	1,639
At 31 December	33,025	30,006

(b) Summarised financial information in respect of the company's associate is set out below;

	2010 Sh'000	2009 Sh'000
Total assets	191,219	172,719
Total liabilities	(26,093)	(22,690)
	165,126	150,029
Company's share of net assets of associate	33,025	30,006
Total revenue	154,663	125,448
Company's share of profit of the associate	3,019	1,639
Company's share of other comprehensive income	-	-

(c) Details of the company's associate at the end of the reporting period are as follows.

Name of associate	Country of incorporation and operation	Principal activity	Proportion of ownership interest and voting power held by the company	
			2010	2009
Central Depository and Settlement Corporation (CDSC) Limited	Kenya	Provision of automated clearing, delivery and settlement facilities in respect of transactions carried out at the Nairobi Stock Exchange	20%	20%

		2010 Sh'000	2009 Sh'000
12	CORPORATE BONDS – held to maturity		
	Safaricom Limited	20,043	-
	Housing Finance Company of Kenya Limited	15,232	-
		35,276	-
	Maturity analysis;		
	Maturing within 5 years	15,232	-
	Maturing after 5 years	20,043	-
		35,276	-
	Movement in the balance is as follows;		
	At 1 January	-	-
	Purchases during the year	35,000	-
	Add accrued interest	324	-
	Less interest received	(48)	-
	At 31 December 2010	35,276	-

The weighted average interest rate of the corporate bonds at 31 December 2010 was 8.1% (2009: nil).

		2010 Sh'000	2009 Sh'000
13	GOVERNMENT SECURITIES HELD TO MATURITY		
	Treasury bills and bonds maturing:		
	Within 90 days	-	34,554
	After 90 days and within one year	-	-
	After 1 to 10 years	157,208	-
		-	-
		157,208	34,554
	Movement in the balance is as follows;		
	At 31 December 2010	157,208	-
	At 1 January	-	-
	Purchases during the year	155,034	-
	Add accrued interest	7,362	-
	Less interest received	(5,188)	-
	At 31 December 2010	157,208	-

The treasury bills matured within 91 and 182 days after the date of acquisition. The weighted average interest rate of the treasury bills is 6.6% (2009: 7.8%).

The weighted average interest rate of the treasury bonds was 3.7% (2009: nil).

14 DEFERRED TAX

Deferred tax is calculated on all temporary differences under the liability method using a principal tax rate of 30%. (2009: 30%). The net deferred tax (asset)/ liability is attributable to the following items;

	2010 Sh'000	2009 Sh'000
Excess depreciation over capital allowances	(3,489)	1,333
Leave provision	(653)	(601)
	(4,142)	732

	2010 Sh'000	2009 Sh'000
The movement in the deferred tax (asset)/liability is as follows:		
At 1 January	732	2,462
Charge to profit or loss (note 8(a))	(4,874)	(2,238)
Prior year under provision (note 8(b))	-	508
At 31 December	(4,142)	732

15 a) TRADE AND OTHER RECEIVABLES

	2010 Sh'000	2009 Sh'000
Trade receivables	34,025	23,283
Prepayments and deposits	11,098	14,180
Other receivables	16,037	11,428
Receivable from Dar-es Salaam Stock Exchange	2,500	2,500
Receivable from members of the Exchange	41,623	41,623
	105,283	93,014
Provision for doubtful debts (note 15b)	(57,022)	(56,722)
	48,261	36,292

Receivable from Dar-es-Salaam Stock Exchange represents amount paid by the company on behalf of Dar-es-Salaam Stock Exchange for their proportionate called up shareholding in CDSC.

(b) PROVISION FOR DOUBTFUL DEBTS

	2010 Sh'000	2009 Sh'000
Movements in the provisions bad debts were as follows:		
At 1 January	56,722	14,099
Charge to profit or loss	300	42,623
At 31 December (note 15a)	57,022	56,722

The provision to profit or loss in 2009 related to funds advanced to two members who were placed under statutory management.

16 CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the cash flow statement comprise the following statement of financial position amounts:-

	2010 Sh'000	2009 Sh'000
Bank and cash balances	80,813	42,002
Term deposits	-	69,064
Treasury bills maturing within 91 days (note 13)	-	34,554
	80,813	145,620

Term deposits are held to maturity and measured at amortised cost. The term deposits were held at the following institutions

	2010 Sh'000	2009 Sh'000
CfC Stanbic Bank Limited	-	41,525
National Bank of Kenya Limited	-	15,300
Kenya Commercial Bank Limited	-	12,239
	-	69,064

The effective weighted interest rate of the term deposits was nil (2009: 7.6%).

17 TRADE AND OTHER PAYABLES

	2010 Sh'000	2009 Sh'000
Trade payables	3,921	12,383
Annual listing fees received in advance	24,900	12,314
Accrued expenses	2,678	2,242
Staff leave provision	2,177	2,004
Capital Markets Authority	980	2,653
Data vendors deposit	646	1,158
Other payables	2,043	4,578
	37,345	37,332

Notes to the Financial Statements
for the year ended 31 December 2010 (continued)

		2010 Sh'000	2009 Sh'000
18	**CASH GENERATED FROM OPERATIONS**		
	Reconciliation of profit/(loss) before tax to cash generated from operations:		
	Profit/(loss) before tax	114,286	(31,754)
	Adjustments for:		
	Depreciation (note 8)	15,136	16,380
	Amortisation (note 9)	15,709	10,672
	Gain on disposal of equipment	-	(2,283)
	Share of results of associate (note 11)	(3,019)	(1,639)
	Interest income (note 6)	(12,679)	(9,802)
	Operating profit/(loss) before working capital changes	129,433	(18,426)
	(Increase)/decrease in trade and other receivables	(11,969)	51,205
	Increase in trade and other payables	13	629
	Cash generated from operations	117,477	33,408

19 **RELATED PARTY TRANSACTIONS**

As at 31 December 2010, the company had 10 (2009:10) member stockbrokers and 12 (2009:12) licensed investment banks. The following transactions were carried out with related parties:

	2010 Sh'000	2009 Sh'000
(a) Directors' emoluments		
Non- executive	5,817	7,607
As executives	10,463	9,000
(b) Key management compensation		
Salaries and other short-term employment benefits	29,580	31,577

(c) Transactions with brokers

The company charges investors, through the brokers, a transactions levy of 0.12% (2009: 0.12%), of the value of equity securities traded at the Exchange (turnover). During the year, the total turnover was Sh 179,494 million (2009: Sh 76,329 million) resulting in a transaction levy of Sh 215.3 million (2009: Sh 91.6 million).

Following the publishing of the approved fees chargeable on fixed income securities in the Kenya Gazette on 3rd December 2010, NSE charged investors through brokers a transactions levy of 0.0035% of the value of fixed income securities traded at the Exchange (turnover) for the period 6/12/ to 31/12/2010. The turnover for the period was Kshs 40,015 million resulting in a transactions levy of Kshs 1.5m.

		2010 Sh'000	2009 Sh'000
20	OPERATING LEASE COMMITMENTS		
	Falling within 1 year	17,139	17,125
	Falling after 1 year but within 5 years	43,187	64,149
	Falling after 5 years	-	15,799
		60,326	97,073

Operating lease commitments relate to the lease rentals payable for the offices where the Exchange is situated.

		2010 Sh'000	2009 Sh'000
21	CAPITAL COMMITMENTS		
	Commitments at the end of the reporting period for which no provision has been made in these financial statements:		
	Authorised and contracted for	74,975	-

The capital commitments relate to purchase and installation costs of the broker back office hardware and software.

22 CONTINGENT LIABILITIES

A legal claim has been made against the company by a former employee, mainly for wrongful dismissal. The case is ongoing and the likely outcome is not known.

The directors, based on advice received from the company's legal advisors, believe no material liability will arise from the case.

23 RISK MANAGEMENT OBJECTIVES AND POLICIES

The main business risks faced by the company in respect of its principal non-derivative financial instruments are market risk including interest rate risk and foreign currency risk, credit risk and liquidity risk. The directors review and agree policies for managing these risks.

(a) Market risk

The company maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the company does not speculate or trade in derivative financial instruments.

(i) Interest rate risk

Interest rate risk arises primarily from investments in fixed interest securities. The sensitivity analysis for interest rate risk illustrates how changes in the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates at the reporting date.

23 RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Market risk (Continued)

(i) Interest rate risk

The following table sets out the carrying amount, by maturity, of the company's financial instruments that are exposed to interest rate risk:

	1 month Sh '000	1-3 months Sh '000	3-6 months Sh '000	1-5 years	5+ years	Total Sh '000
31 December 2010						
Government securities	-	-	-	-	157,208	157,208
Corporate bonds	-	-	-	15,232	20,044	35,276
31 December 2009						
Government securities	-	34,554	-	-	-	34,554
Term deposits	-	69,064	-	-	-	69,064

The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios due to a parallel movement of plus 5 percentage points in all yield curves of financial assets.

A 5% increase/decrease in interest yields would result in additional profit/loss for the period of Shs 634,000 (2009: Shs 490,000).

(ii) Foreign currency exchange risk

The company undertakes certain transactions denominated in foreign currencies. Therefore, exposures to exchange rate fluctuations arise. Exchange rate exposures are however minimal as these only relate to income from data vendors which is marginal.

(b) Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. Credit risk arises from deposits with banks, as well as trade receivables. Management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by the banking regulatory authority.

23 RISK MANAGEMENT OBJECTIVES AND POLICIES

(b) Credit risk (Continued)

The amount that best represents the company's maximum exposure to credit risk as at 31 December 2010 and 2009 is made up as follows:

31 December 2010	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
Treasury bonds	157,208	-	-	157,208
Corporate bonds	35,276	-	-	35,276
Trade receivables	17,968	3,290	12,767	34,025
Bank balances	80,196	-	-	80,196
	290,648	3,290	12,767	306,705

31 December 2009	Fully performing Shs	Past due Shs	Impaired Shs	Total Sh'000
Treasury bills	34,553	-	-	34,553
Term deposits	69,064	-	-	69,064
Trade receivables	9,944	13,339	14,182	23,283
Bank balances	41,793	-	-	41,793
	155,354	13,339	14,182	154,511

Bank balances, treasury bills and term deposits are fully performing. Trade receivables under the fully performing category are expected to be recovered in full as the debtors are paying their debts as they continue trading. Trade receivables in the past due category are partly impaired.

(c) Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations. The Company manages this risk by maintaining adequate cash balances in the bank, banking facilities and by continuously monitoring forecast and actual cash flows.

The table below analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

23 RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Liquidity risk (Continued)

	Up to 1month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Total Sh'000
At 30 September 2010					
Trade payables	3,921	-	-	-	3,921
At 30 September 2009					
Trade payables	12,383	-	-	-	12,283

24 CAPITAL RISK MANAGEMENT

The company manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the equity balance.

The capital structure of the company consists of member's funds and accumulated profit.

The company is not subject to any externally imposed capital requirements.

25 EVENTS SUBSEQUENT TO YEAR END

The company has commenced the process of demutualization following the resolutions passed by the members at the extra ordinary general meeting of the company held on 4th march 2010. The capital markets act (cap. 485A) has been amended to facilitate demutualization of a securities exchange. The amendments to the act came into effect on 1st january 2011. Demutualization will involve the change of form of the company from a company limited by guarantee to a company limited by shares.

The company engaged legal and tax advisers in January 2011 to assist with the demutualization process which is expected to be complete by the end of 2011.

26 COUNTRY OF INCORPORATION

The company is limited by guarantee and incorporated in Kenya under the Kenyan Companies Act

27 CURRENCY

These financial statements are presented in Kenya Shillings (Sh) and are rounded to the nearest Sh 1,000.

Notes

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